

Sales & Operations Planning Handbook

Balancing demand and supply

Preface

Sales & Operations Planning (S&OP) is all about balancing demand and supply – and to take and execute decisions to keep this balance in line with company strategies and targets. It should be simple – and in theory it is – but experience shows that implementing S&OP is difficult. The primary reason being that this is a cross-functional process, involving many different parts of the organisation, and at the same time, it often requires IT support.

Implementation of S&OP is therefore much about people, less about processes and least about systems.

This is the basis for the handbook. In the following chapters, we will present a set of viewpoints which describe our stand on the topic with the purpose of providing an outline of our approach and sharing some of our knowledge and experience from past and ongoing S&OP projects.

Enjoy!

Sales & Operations Planning

Aligning business plans with operations

S&OP: A set of decision-making processes to balance demand and supply, to integrate financial planning and operational planning and to link high-level strategic plans with day-to-day operations (definition by APICS – American Production and Inventory Control Society).

Contents of the S&OP Handbook

This is a reduced version of the handbook. Contact us to get the full version (see back of handbook)

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S&OP: What is in a name?

Integrated Business Planning

Sales & Operations Planning

SOIP

MIOE

S&OP

Executive S&OP

SIOP

Business Planning



Tom Wallace is a teacher and writer, specialising in Sales & Operations Planning – and regarded by many as one of the inventors of S&OP. He is a distinguished fellow of the Ohio State University's Center for Operational Excellence.

Tom has written twelve books, including *Sales & Operations Planning: The How-To Handbook*, 3rd edition (2007), *Sales & Operations Planning: The Executive's Guide* (2006) and *Sales & Operations Planning: The Self-Audit Workbook* (2005).

The big name confusion: Many names exist for the process of aligning business plans with operations, and some experts claim that different names encompass different content – most recent perhaps is the claim that “IBP = S&OP but with finance”.

In Implement Consulting Group, we collaborate with Tom Wallace, one of the original ‘inventors’ of S&OP as a concept. According to Tom, the original definition of S&OP included sales, marketing, product development, finance, operations and of course; the top management. Thus, Tom Wallace sees no difference in the definitions on the left-hand side.

To avoid contributing to the general confusion of terms, we in Implement have decided to fully use Tom Wallace's definition and name:

Sales & Operations Planning (S&OP)

”

A rose by any other name would smell as sweet.”

William Shakespeare

S&OP is about doing what is best for the company as a whole

What is S&OP?

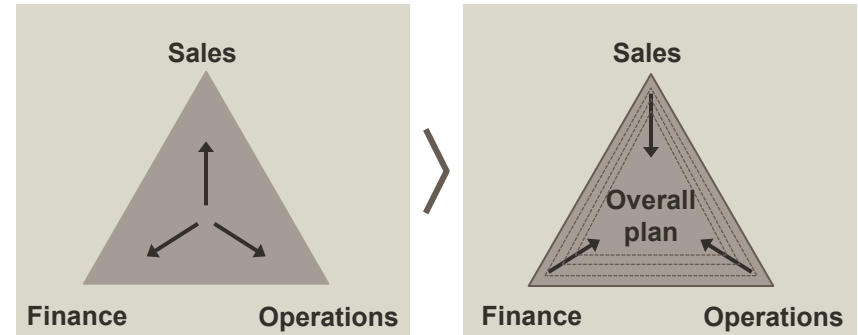
Sales & Operations Planning
can be described as:

”

A set of decision-making processes to balance demand and supply, to integrate financial planning and operational planning and to link high-level strategic plans with day-to-day operations.”

*APICS (American Production
and Inventory Control Society)*

One overall plan



Stakeholders are often at odds with each other:

- Sales wants to increase sales and make customers happy (plenty of inventories)
- Operations wants to run machinery as stable and efficient as possible (long runs, few changeovers)
- Finance wants high profit and/or turnover, efficient operations and low working capital

The S&OP process brings these different views together in one balanced decision making process.

Failing to make decisions in time results in lost sales or excess costs

Situation faced by many companies

Inability to make decisions in a timely fashion caused by:

- Uncertainty about decision-making horizons and the available courses of action, particularly in Sales
- Uncertainty about capacity and material
- Uncertainty about the number of new products and associated issues
- Failure to phase out old products
- Absence of a formal cross-functional decision-making process and forum that includes Sales, Production, Purchasing and Finance and ensures minimal involvement by senior management
- Conflict between decisions and budget
- Sales, Production, Finance – all operating according to different plans

Current challenges

Failing to make decisions in a timely fashion results in lost sales or excess costs:

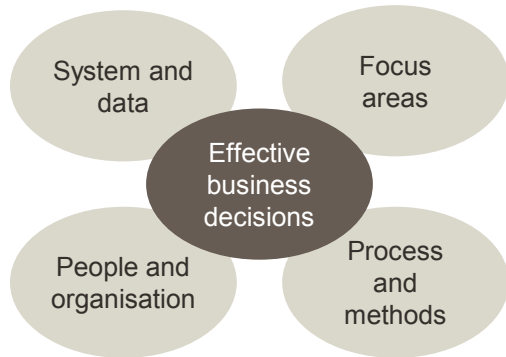
- If capacity is increased too late, customer service suffers, leading to lost sales
- If capacity is cut too late, capacity costs become too great
- If activities to increase sales – such as campaigns and new incentive models – are implemented too late, it is impossible to make use of excess capacity or material to increase sales further
- If inventories for things such as seasonal products are expanded too late, customer service suffers and sales are lost
- If inventories are drawn down too late, company liquidity is reduced
- If sales is not levelled out to match the capacity constraints, service levels and lead times will suffer

Key questions

1. Are capacity and supply presented in a simple manner that supports timely decisions?
2. Do all the most important decision-makers in Sales, Production, Purchasing and Finance know the key decision-making horizons and the available courses of action?
3. Is there a formal cross-functional decision-making process including Sales/marketing, Production, Purchasing and Finance that provides timely decisions for senior management?
4. Is there a well-functioning tactical planning?
5. What sales opportunities were missed in the past year?
6. Have there been problems filling orders in the past year?
7. Have there been periods of overcapacity in the past year?
8. How many new products were introduced in the past year? How many were phased out?
9. Has the pace of inventory turnover increased in the past year?

S&OP will create impact on business performance through collaborative planning and decision-making

Effective decision-making is a balancing act between the different dimensions of S&OP



Maximising the effectiveness and the impact requires a customised approach with the **RIGHT**...

- **Focus** on business targets and objectives
- **Process** design based on market and business characteristics
- **People** involved to ensure the desired behaviour
- **System** and data to support an efficient and fact-based process

This is enabled by an environment characterised by...

- **Collaboration** – cross-functional involvement and ownership
- **Trust** – holistic view and targets, as well as data transparency
- **Accountability** – continuous review of outcome versus plan
- **Foresight** – focus on market conditions and assumptions
- **Insight** – decoding cause and effect relations
- **Decisions and actions** – plan, do, check and act mentality

The result will be a significant business impact¹⁾:

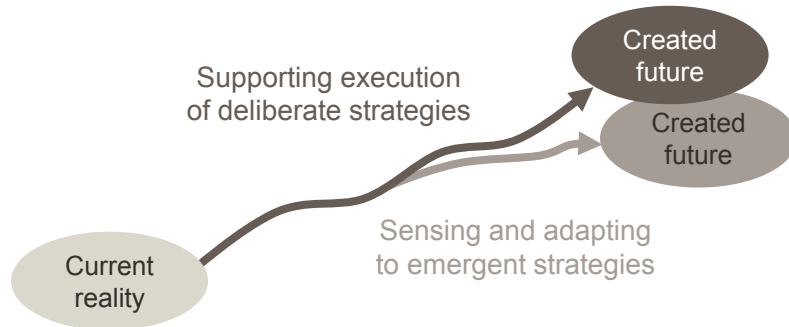
- On-time delivery to customers +25%
- Inventory levels -41%
- Manufacturing downtime -35%
- Plant efficiency +17%
- Transportation cost -17%

An imbalance can cause undesired behaviours and lead to either no decisions or the wrong decisions, thus reducing the chances of realising the potential.

1): SALES & OPERATIONS PLANNING: COSTS AND BENEFITS by Tom Wallace (2009)

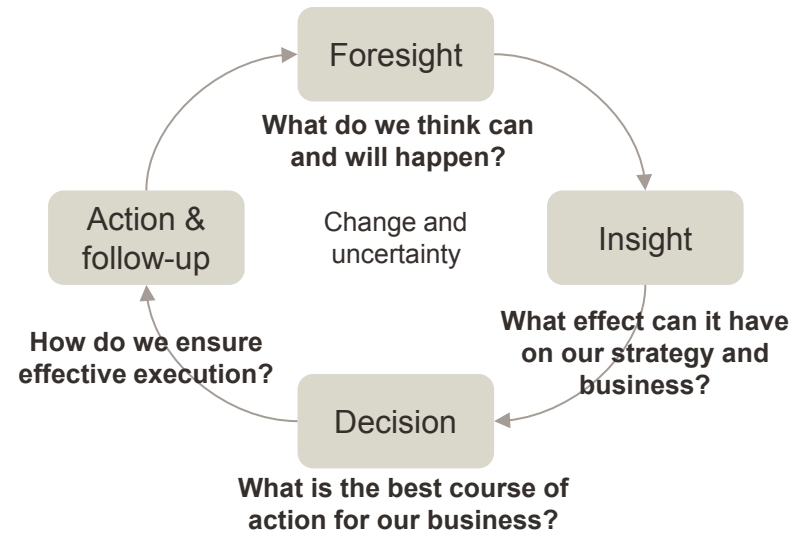
Moreover, S&OP is a strong tool to support the strategy journey through a continuous strategic dialogue

Managing change and supporting the strategy journey



- There is an ever ongoing journey between the current reality and the created future that a business sets out to reach
- This journey rarely comes in the shape of a straight line, there is a constant and increasing level of change and uncertainty that need to be managed
- The challenge of acting in a changing and uncertain environment is often substantial, but it can also be a source of opportunities
- S&OP can act as a supporting platform for delivering upon defined strategies, but it can also act as a platform for change and adapting to emergent opportunities

Focusing on foresight, insight, decisions and actions



And be both agile and absorptive towards change

- Being agile means identifying and exploiting opportunities as they emerge – ahead of competition
- Being absorptive means having the capacity to sustain change and deliver upon the defined strategy – better than competition

Utilise S&OP for a frequent, continuous and focused strategic dialogue

The S&OP process must be linked to strategic, tactical and operational processes

Targets and policies are supplied downwards, while capabilities and actual performance are sent up

The S&OP process must supply the policies, rules and prioritisation guidelines for the tactical and operational processes



Long term planning must be on an aggregated level. Detailed long term planning will not improve accuracy – but requires a lot of effort

Sales & Operations Planning

Forecast and plans in the long-term often have lower accuracy on a detailed level.

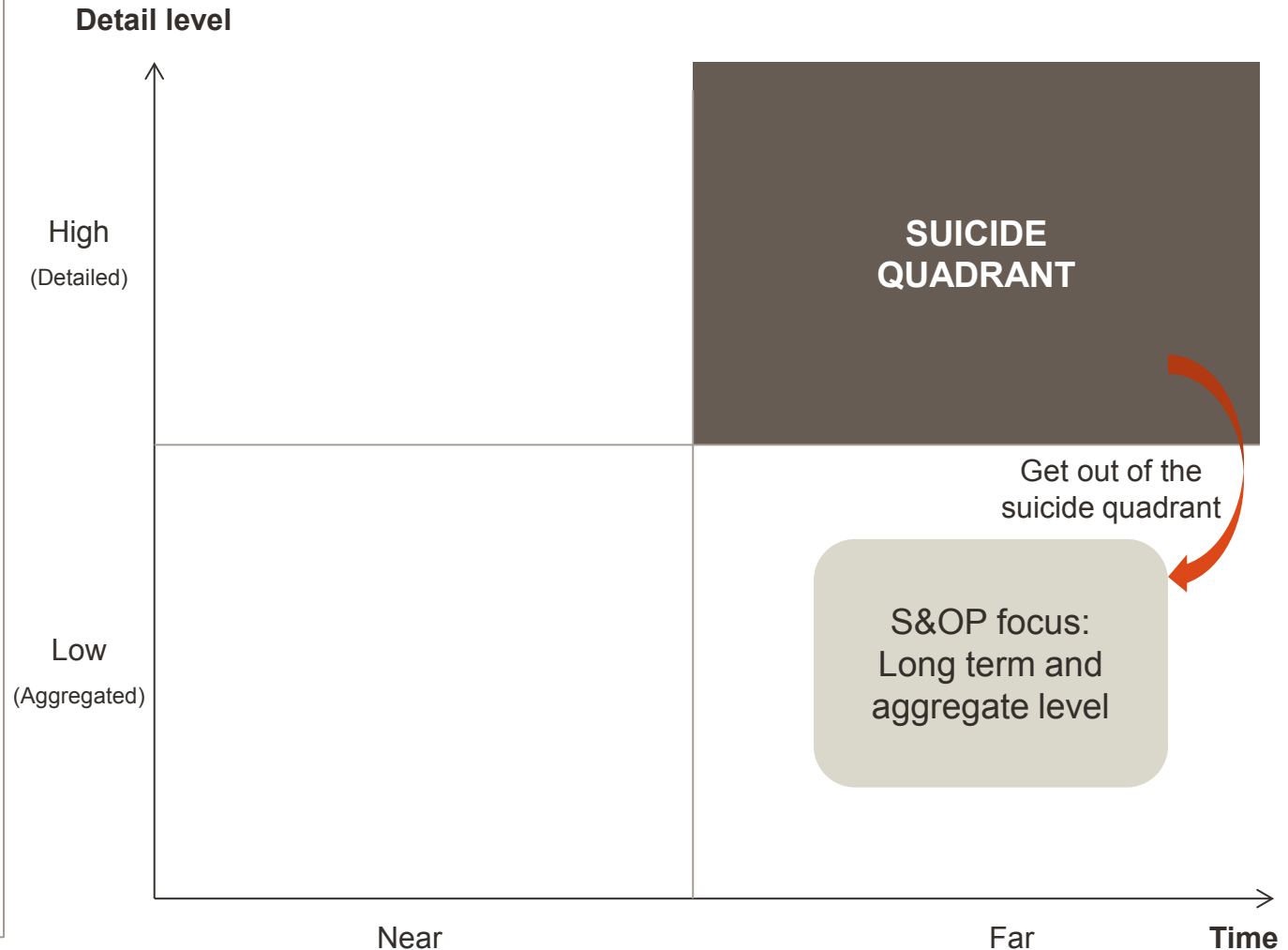
Therefore, digging into the details in the long-term does not bring value to the decision-making process and only makes the process longer and more cumbersome.

S&OP is about making decisions in the long-term on an aggregated level.

S&OP should provide the aggregate projections. Decisions in the short term are based on more details handled within tactical planning rather than S&OP.

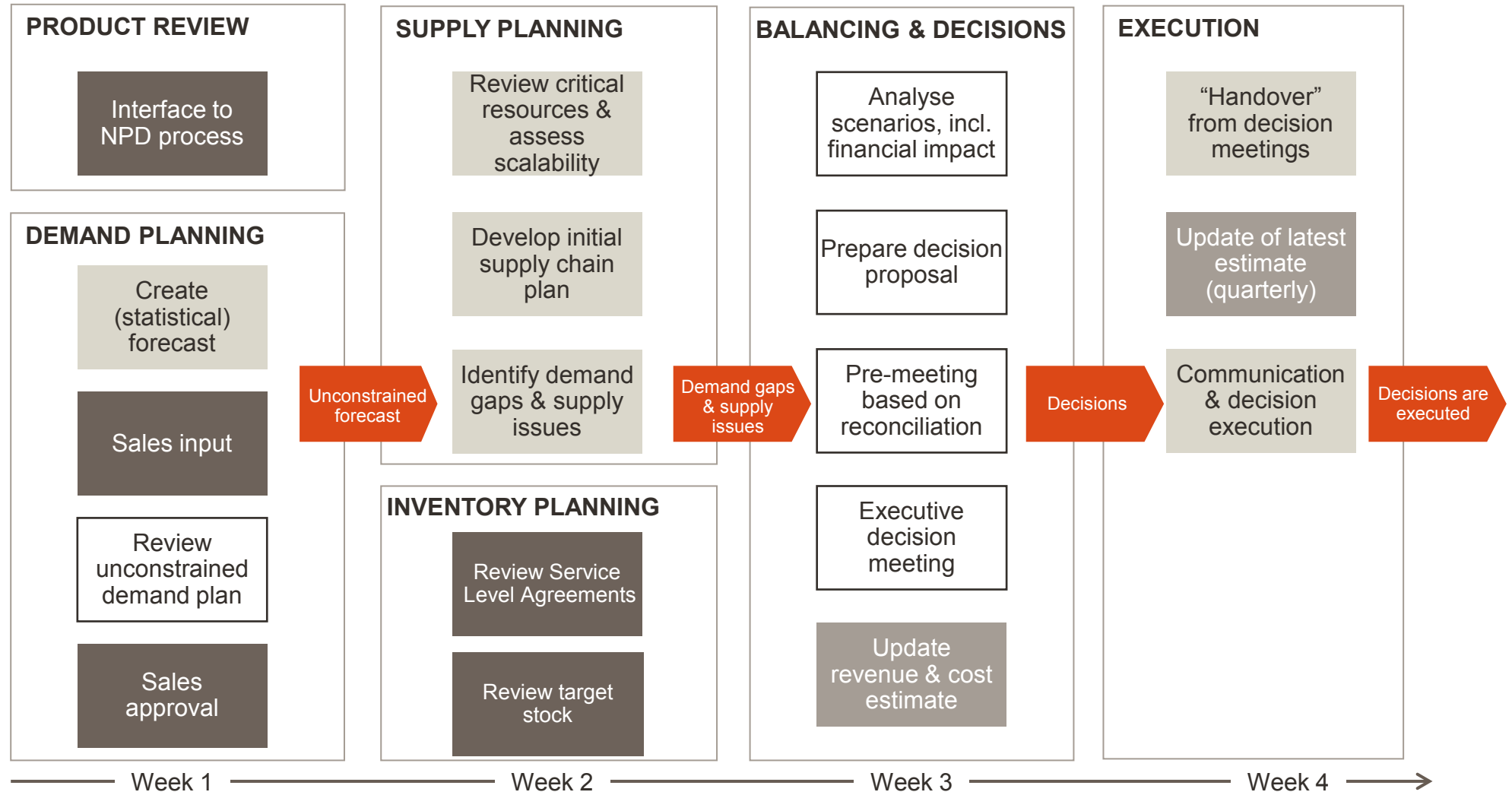
”The higher you fly, the easier it is to see where to land”.

Tom Wallace



The S&OP process is a cross organisational process to take and execute the decisions that are best for the company as a whole

The S&OP process consists of 4 general steps: Demand planning, Supply planning, Balancing & Decision Making and Execution



The main purpose of the demand forecasting process is to deliver an unbiased, realistic forecast in the S&OP horizon – at the right level of detail

Key challenges in achieving a realistic forecast in the S&OP horizon

- Statistical forecasting can help us predict the future based on the past – but it is reactive so we need to combine statistical forecasting with input from Sales and Marketing to get a realistic forecast
- It is hard to motivate Sales and Marketing to forecast, and it is important that they spend their time where it provides the most value, e.g. tenders, promotions and new products
- The forecast from Sales and Marketing is often biased and affected by their incentives or just by common optimism/pessimism
- Consistent underforecasting gives major delivery problems, and consistent overforecasting gives excess capacity (bias)
- Optimisation of statistical models and parameters does not make statistical forecasting less reactive – but more complex and non-transparent
- An unclear forecast purpose and focus leads to a complex solution, e.g. unnecessary SKU forecasting in the S&OP horizon (suicide quadrant)
- In many companies, typical forecast measurements are based on the forecast accuracy in the near horizon – leaving no incentives for improving accuracy of the forecast in the S&OP horizon



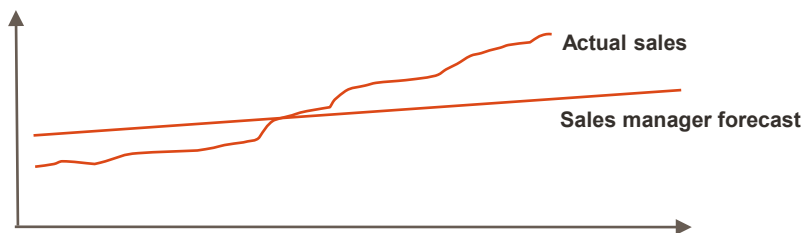
7 Implement viewpoints on the demand planning process

1. One consensus volume forecast shared by Sales, Finance and Operations
2. The focus level of forecast must be determined by the decisions taken on the basis of the forecast
3. Sales is from Venus, Operations is from Mars
4. Statistical forecasting must be simple and transparent
5. Baseline forecast must be separated from campaigns and tenders
6. One size does not fit all – time used in the forecasting process should be spent where it has the largest impact
7. KPIs should be aligned with the level of forecast required – in different horizons

Sales is from Venus, Operations is from Mars – forecast should not be created by Sales, but could be reviewed by Sales

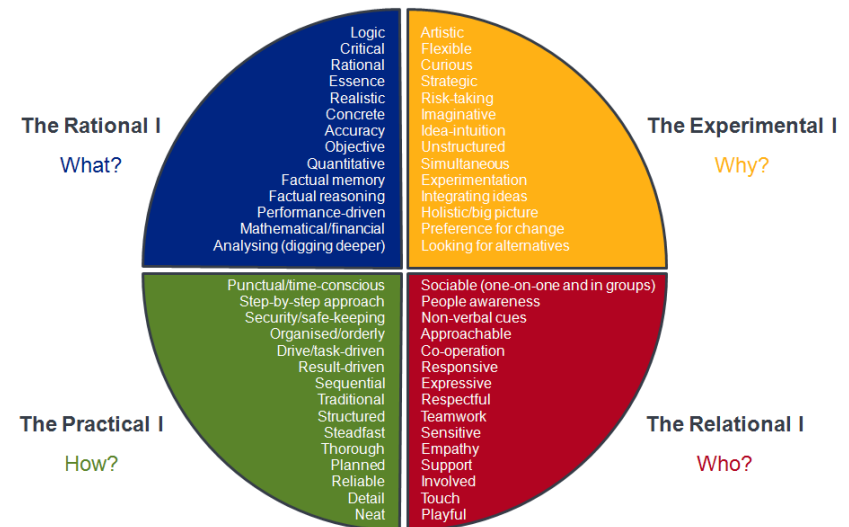
Why do we need input from Sales and Marketing

- Statistical forecasting is reactive. Therefore, the only manner in which to make forecasting proactive is to get input from Sales and Marketing
- Good sales managers typically have a preference for relationships, people, seeing opportunities etc. We use the Whole Brain model to illustrate this on the right
- Sales managers are motivated by understanding why they have to provide input and by minimising their work – they are not motivated by lots of numbers, Excel sheets and statistical models
- Important input from sales managers includes e.g. tenders, promotions, increasing/decreasing pipeline and new customers
- Sales managers have a tendency to overforecast in the short-term horizon and underforecast in the long-term horizon
- Marketing has important information for long-term forecast, e.g. new products, new markets and new campaigns



Sales has other preferences than Operations

- The Whole Brain model(*) states that people have one dominant preference out of four possible

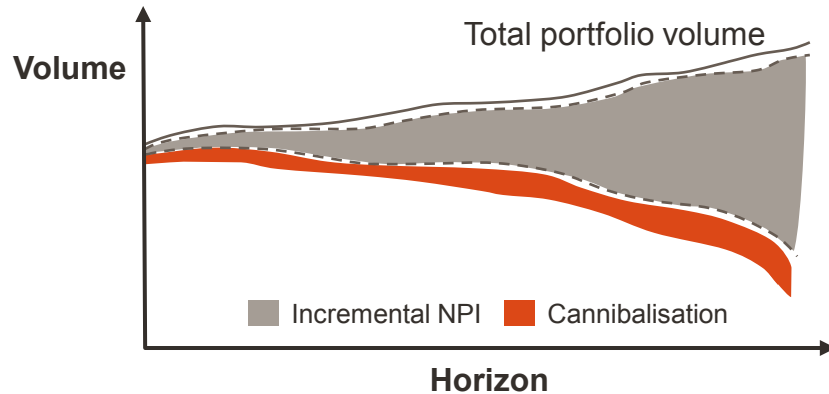


- Sales managers are typically focused on people, relationships and sales incentives, e.g. bonus (Relational/Experimental)
- Operations typically focuses on processes, numbers and KPIs (Rational/Practical)

(*) Whole Brain thinking from NBI and Solutions finding Pty (Ltd)

New product development/introduction is a key demand driver and is therefore important to integrate with the S&OP process

The need for integration between NPI and S&OP is primarily driven by the dynamics of a portfolio ...



- The introduction of new products is one of the most significant sources of change and uncertainty – as well as a key demand-shaping technique – so make sure not to leave it out of the S&OP process
- Both the impact and importance of new products are always increasing and continue to be a key challenge within S&OP
- If not managed and integrated, new products can lead to business decisions and actions based on an incomplete picture and perspective, as well as unmanaged variability and uncertainty
- How big of a challenge the new products impose and the potential impact depend on the specific portfolio dynamics – what is the rate and type of new product introductions?

Integration can lead to more effective business decision-making ...

- ... through including new products in all the key dimensions of S&OP (focus areas, process and methods, people and organisation and systems and data)
- ... through including the total portfolio volume with specific focus on net incremental volume from new products and cannibalisation on existing products as well as positive effects on portfolio dynamics
- ... leading to more effective business decision-making through considering a holistic view on facts, assumptions and business plans

... and uncertainty and volatility will be managed effectively

- Make sure to integrate S&OP and the new product development and introduction process effectively by considering the different stages of development, product type and time to introduction – leading to specific challenges
- Combine specific challenges with the needs and requirements of the involved functions, when designing the detailed integration and setting the framework for decision-making
- Managing change and uncertainty in the different stages can be done through either coordination, cooperation or collaboration – make sure that the ways of working are efficient as well as effective

The main purpose of the capacity and inventory planning process is to identify issues and opportunities in the S&OP horizon

Key challenges in identifying issues in the S&OP horizon

- The forecast is often biased, and the accuracy in the planning horizon is unknown
- The actual required decision horizons for the supply chain changes (e.g. increasing/decreasing shifts on bottleneck resources) are unclear
- The planning level in the S&OP horizon is often not aligned with the required level for the decisions to be made – if bottleneck resources are evaluated, SKU level plans are often not necessary; product group level will suffice
- The responsibility of the different processes is often unclear – which could result in the same supply chain issues being discussed at all meetings, while other issues are left unexamined



Five viewpoints on the capacity and inventory planning process

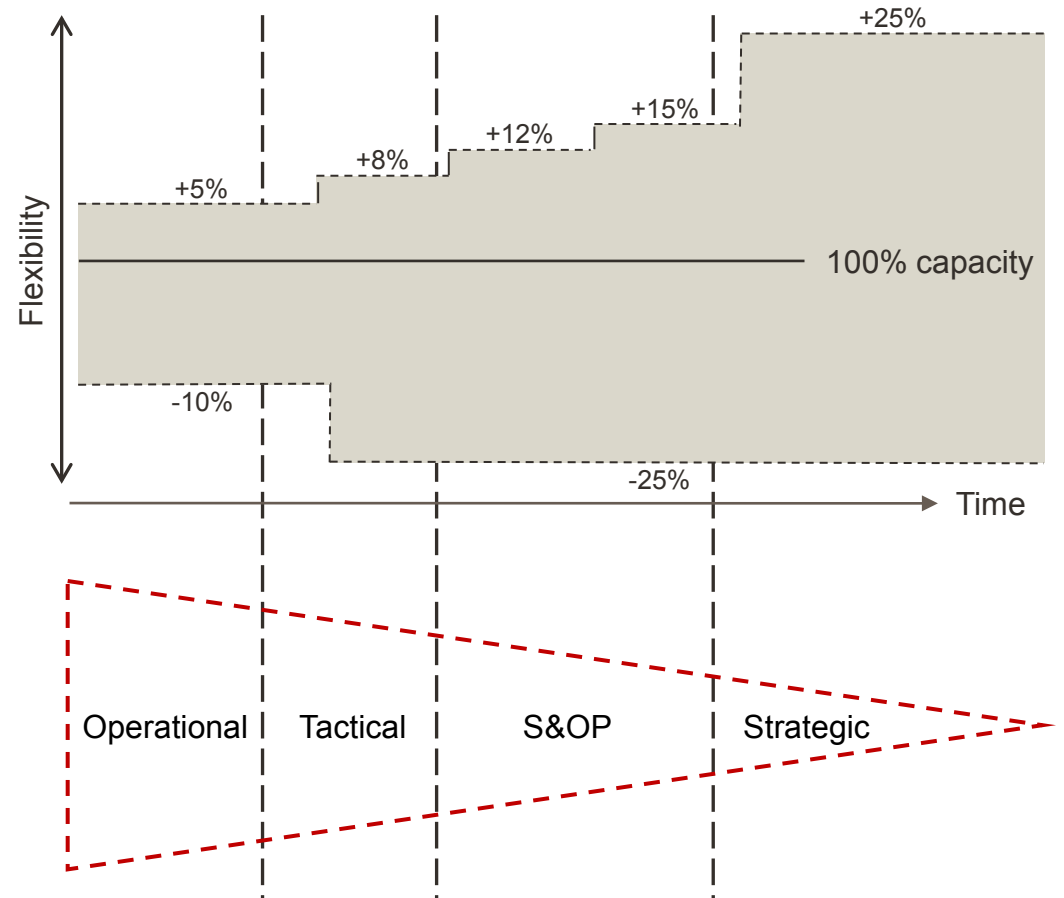
1. The supply chain scalability/flexibility should be identified for all supply chain entities
2. By knowing the forecast accuracy in the S&OP horizon, a safety margin can be considered in the decisions taken
3. Well-defined decision-making and planning horizons make it clear which measures should be taken and by whom (Sales or Operations) in order to balance the situation
4. Each planning level makes plans according to the near-term needs and supply set by the level below it, ending with the operational production level
5. The level of detail in the plan should not exceed the variance – it does not make sense to make a detailed plan on SKU level 12 months ahead, if the forecast accuracy is very low in this horizon



Clarifying actual scalability and planning horizons is a prerequisite and enabler for timely decision-making

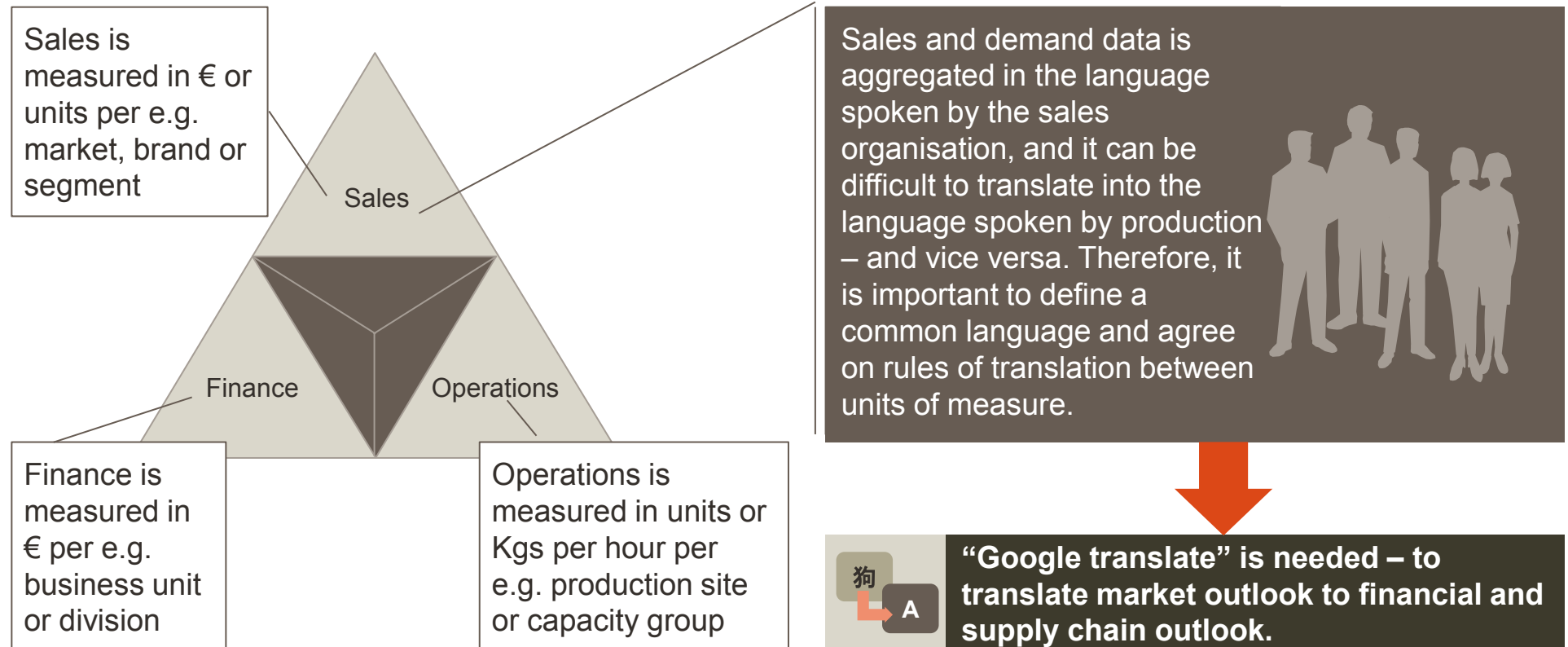
Supply chain scalability and decision horizons

- Production, warehousing, transportation, suppliers and sub-contractors will have different levels of flexibility regarding their supply chain capacities. In a global organisation, flexibility will also differ between countries
- This will depend on labour agreements for increasing/decreasing the number of shifts using overtime and weekend production, temporary labour, availability of overflow warehouses and contract manufacturers etc.
- The decision time needed in order to increase/decrease capacity should be clarified for each key supply chain constraint per site, country, network, region, etc.
 - Which constraints are bottlenecks, if demand is increased by 10%, 20% etc.
 - What is the reaction time and actions for handling a demand increase/decrease (e.g. by 10%, 20%)
- This scalability will determine decisions to be made per horizon and form the foundation of the S&OP process



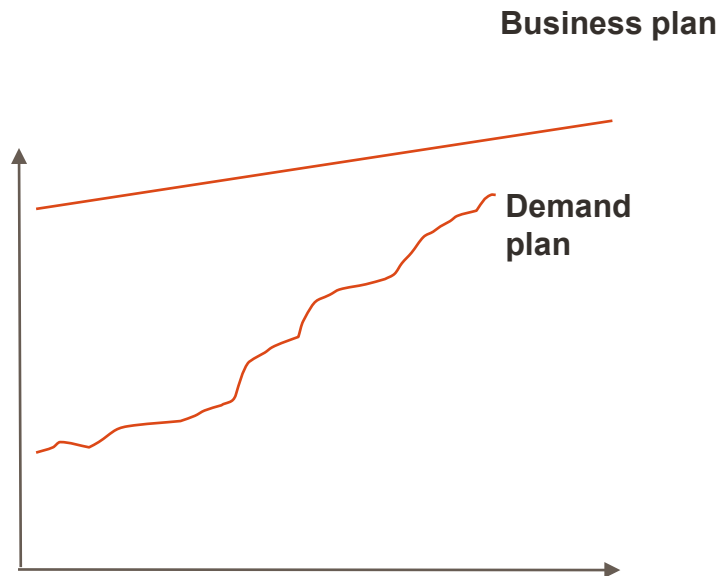
A common language is the key to achieving a common S&OP plan

It all starts with being able to "translate" into different languages



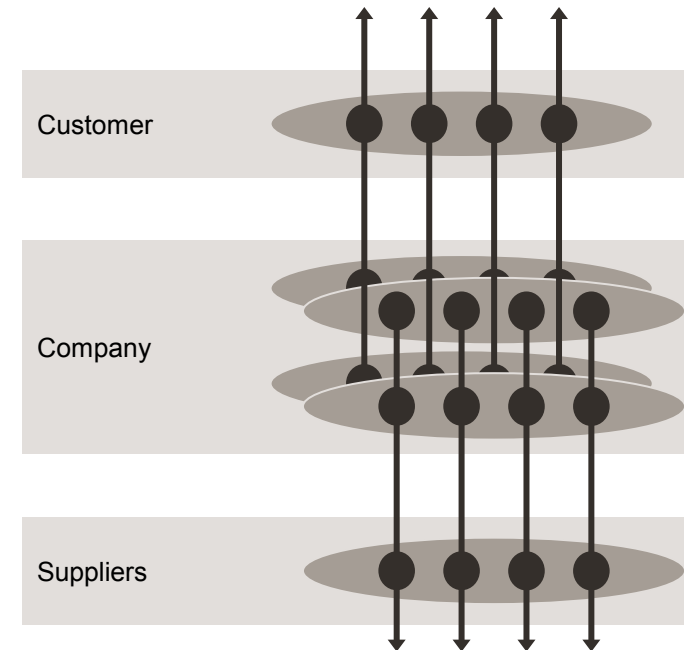
We need to convert market input into supply requirements aligned with the scalability

We have a market outlook ...



Business plans and demand plans are often defined in € or units per e.g. market, brand or segment

... that we need to translate into supply requirements



Operations is often planning in units or Kgs per hour per e.g. production site or capacity group

We need to make the input level (product families) match with how the market(sales) sees it



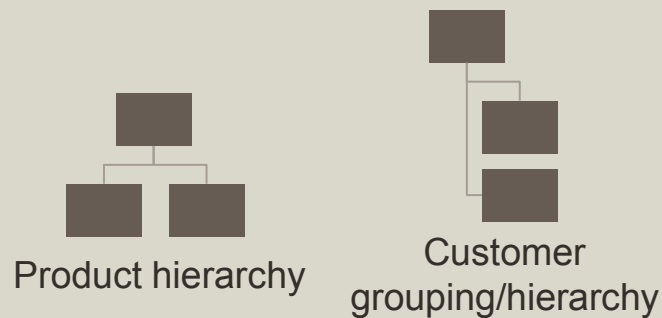
Sales has other preferences than Operations but Supply Chain is often initiating S&OP projects – so they set up groupings according to how operations work.

But that does not necessarily fit with how sales sees it. That makes forecasting harder. Forecast should be made on the level that makes value for sales. E.g. Product families. In the S&OP process this input should be converted to a common language that can be used for decision making. The common language has to be aligned with the level defined in the supply chain scalability

Key design areas

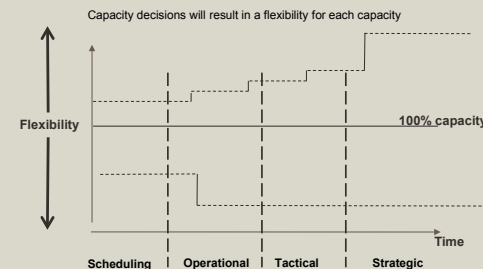
1

Hierarchies



2

The input level of the forecast

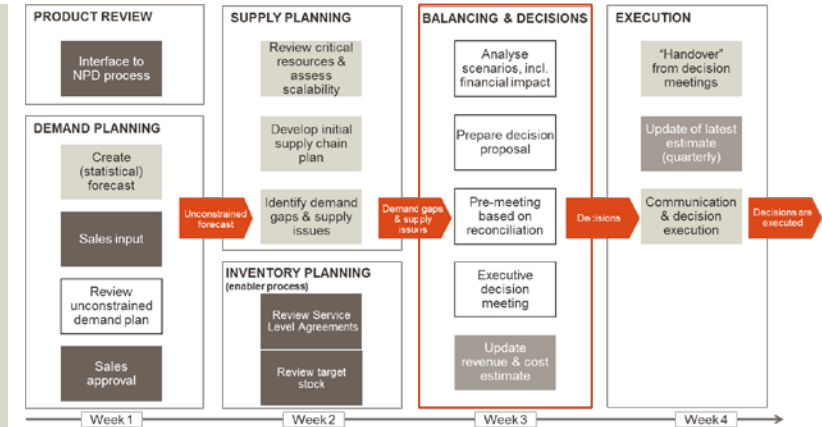


The ability to make decisions is the most central element in the whole process

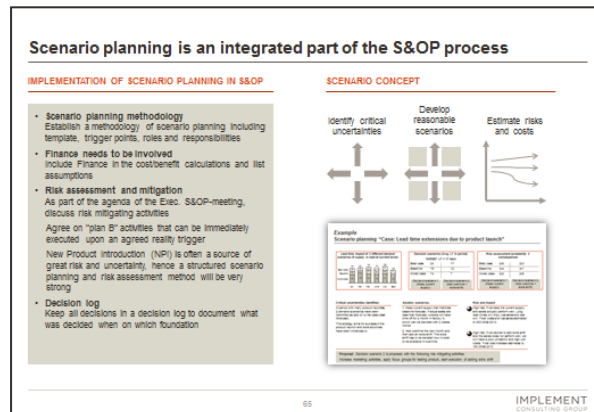
How to make S&OP a decision process – rather than a discussion process

At this point, the most important focus is to enable the decision-making for the identified issues and opportunities.

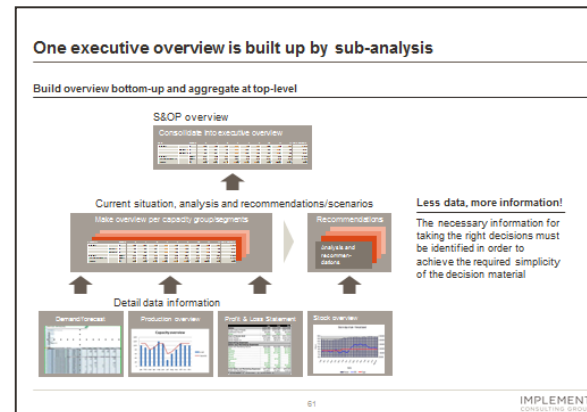
This is ensured through analysis and listing the few relevant key scenarios. Based on these, recommendations should be prepared and presented in a simple executive overview – but with all the background analyses available for those needing more information. This should be presented with the KPI overviews that enable decision making – and consequences to be clear.



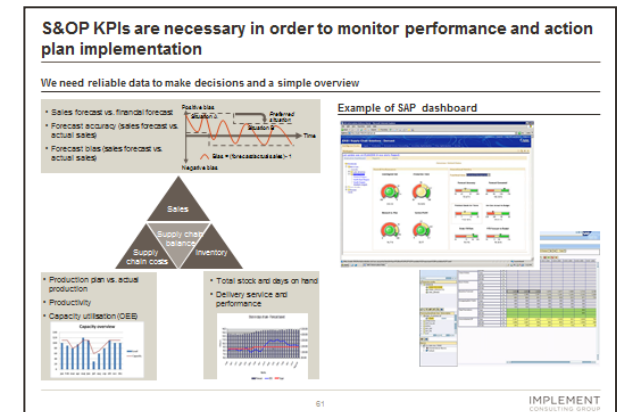
Recommendations based on scenario analysis



With conclusions presented as decision recommendations



With relevant KPI overviews



Improve your decision-making in a highly uncertain environment through scenario planning

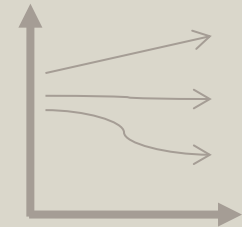
Scenario planning, including risk assessment and consequence estimations are important for minimising risks when planning is not in a steady state

Increasing uncertainty and volatility on both demand and supply makes forecasting more difficult. Decision-making becomes harder when planning is not in a steady state. A high level of uncertainty is created by introducing new products, product portfolio transition, tenders, big growth rates combined and long-term planning (usually >1 year) etc.

Hence, a different approach is needed based on assumptions rather than historical data – by assessing probability, risk and cost to different assumptions. This means that forecasting moves from the classical statistical one-number forecasting to scenario-based forecasting ranging from “best case” to “worst case”.

Scenario planning brings a number of advantages:

- Risk management focus becomes key in the decision
- Improves the forecasting quality in highly uncertain environment
- Focus on consequences for business (cost, utilisation, service levels, lead time)
- Allows for addressing opportunities rather than discussing bias



With inspiration from strategic scenario planning, we define: *“Scenario analysis is a process of analysing possible future events by considering alternative possible outcomes (sometimes called “alternative worlds”). Thus, the scenario analysis, which is a main method of projections, does not try to show an exact picture of the future. Instead, it consciously presents several alternative future developments. Consequently, a scope of possible future outcomes are observable”* ^{[1] [2]}

1. Aaker, David A. (2001). *Strategic Market Management*. New York: John Wiley & Sons. pp. 108 et seq.

2. Bea, F.X., Haas, J. (2005). *Strategisches Management*. Stuttgart: Lucius & Lucius. pp. 279 and 287 et seq.

What should Finance be doing in S&OP?

What is the current challenge?

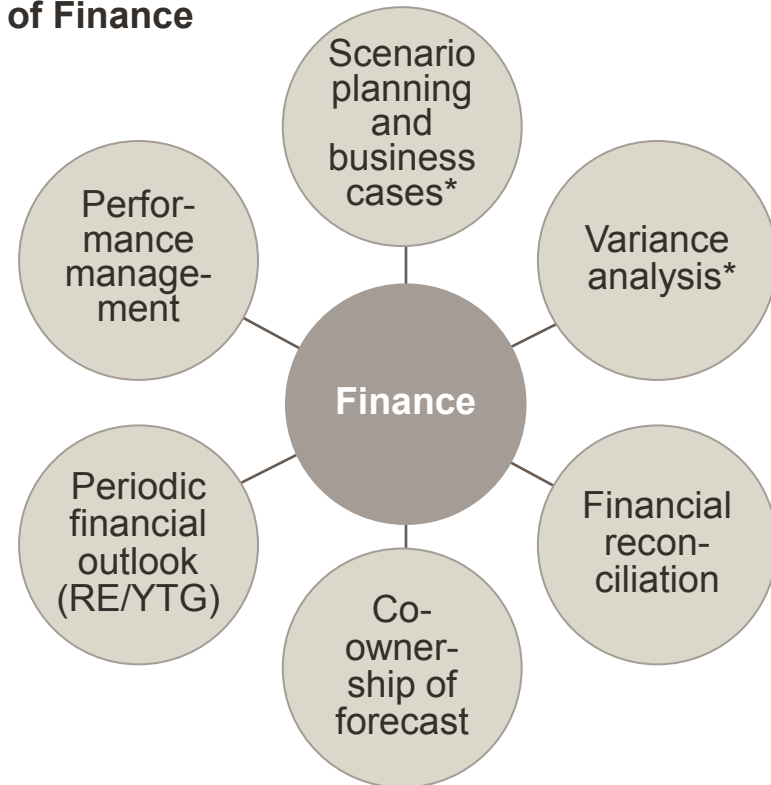
- S&OP is argued to speak the language of sales and manufacturing (forecasts, bookings, production, units, hours etc.), while the overall business plan of the company is stated in financial terms
- S&OP is no longer just about balancing supply and demand. It is about searching for and executing the most profitable strategy out of many possible scenarios

”

The main reason for suggestions to convert sales and operations plans into financial terms seems to be to enable reviewing S&OP with the overall business plan of the company.”

Ventana Research

The role of Finance



- Finance's role in an S&OP process is to monetise the demand and supply plans developed by Sales and Production, so the company can see the future financial situation in the form of financial plans and budgets in place
- Therefore, S&OP should include financial reconciliation

* Note: Integrated in S&OP process.

How do we involve Finance in S&OP?

Conversations heard in the Finance department

”

The planning process must be **transparent** with clear communication of expectations to **control actual results**. **Performance against the sales and operations plans** should also be widely communicated. When **actual results differ from plans**, the source of these deviations must be analysed and communicated.”

”

Moreover, one method that many suggest using is driver-based planning such as **activity-based budgeting** (ABB) to enable **forecast costs and expenses through deriving them directly from the sales forecast**.”

”

In other words, **financial reconciliation of sales and operations plans** should make it possible to see the **financial effects of the operational plans** rather than just volumes and other non-financial variables while also enabling to see the **overall effects and correspondence with the strategy**.”

”

I'll make him an offer he can't refuse.”

Don Vito Corleone

Finance needs to be involved in the S&OP process, since the S&OP process will enable Finance to fulfill the role expected of them. And Sales and Production needs Finance to be involved!

So, please bring a chair!



Key principles supporting S&OP implementation

How to get started

Create impact

– Business case approach

- Clear project purpose definition is necessary
- Business case (\$) sets direction and focus
- Project success criteria linked to business case
- Key deliverables linked to business case



Executive commitment

– High level of involvement

- Basic project team with representation from Sales, Operations and Finance
- Workshop-based involvement
- Stakeholder analysis and communication plan (1:1 meetings, weekly status meetings, weekly email, newsletter)
- Link between Finance, Sales and Operations



Get started

– Concurrent implementation

- The new S&OP process is started parallel to the project in order to gain experience and make corrections
- Co-create system solution – let system experts demonstrate prototypes
- Less data, more information: Create prototypes of executive overview and KPI cockpit with real data early in the process to ensure validation of relevance



S&OP methodology

– Structured approach

- Use generic S&OP process as a starting point – as an accelerator for process definition
- Use standard method to clarify scalability of supply chain entities
- Use generic S&OP agendas as a starting point
- Set the right ambition level by assessing the current level of maturity



A maturity model can act as a target-setting tool for developing the S&OP process

Generic maturity models can be used for overall comparison and target-setting

- A generic model can be used to get an overview of the current maturity level of the S&OP process and to set a target as for where to aim
- Can only be used for basic self-assessment
- Gartner's maturity model is an example of such a generic model, which is well-known worldwide

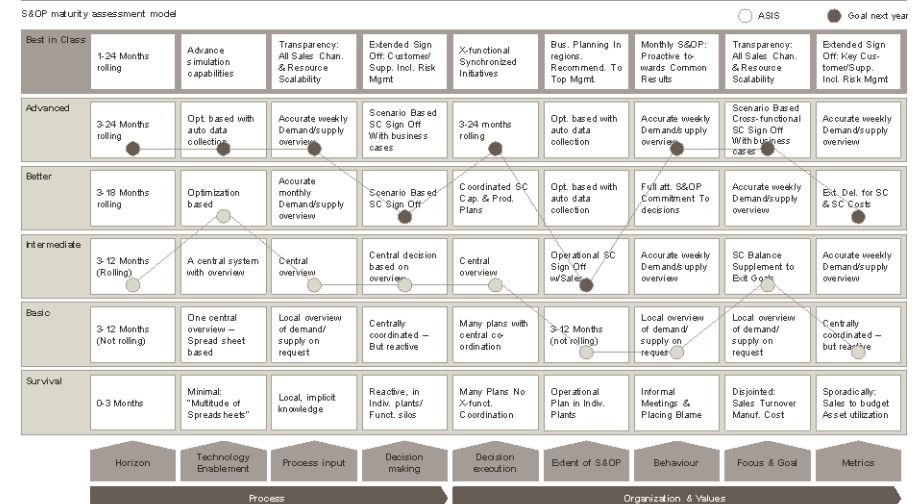
Gartner's maturity model for the S&OP process evaluation

Stage 3: Orchestrate	Coordinated decision making across the enterprise and network to create value across the full planning horizon.	"S" reflects network strategies and solutions, aimed at creating new value. "OP" reflects orchestrated network strategies to fulfil demand.	S&OP is coordinated by supply chain or finance, owned by P&L leaders and sponsored by C-level executives.	Metrics are value-based and aligned across network and enterprise to measure trade-offs.	S&OP manages long-term trade-offs in the two- to five-year time horizon.	System wide scenario modelling to support trade-offs and demand shaping across time horizons and across network.
Stage 4: Collaborate	Creating a demand-driven, profitable supply response across the extended supply chain.	"S" expands to reflect go-to-market plans. "OP" reflects extended supply chain capabilities for profitable response.	The S&OP process is coordinated by the supply chain, but owned and sponsored by business unit/P&L owners.	Metrics are consistent and both internally/externally focused across the extended supply chain.	S&OP process covers the three- to 12/18/24-month term, depending on the industry.	Reliance on the S&OP platform to improve internal and external trade-offs, with functional capabilities translating volume plans into revenue and profit projections.
Stage 5: Integrate	Balancing supply and demand volume across the end-to-end supply chain and establishing financial and supply chain alignment.	"S" equals sales and marketing plans, with input from the supply chain group, and "OP" represents the integrated supply chain capabilities across plan, source, make and deliver.	S&OP is still owned and sponsored by the supply chain group, with increasing involvement from other functions.	The metrics are defined to measure integrated supply chain performance.	S&OP seeks to expand its focus to the riskier planning horizon, beyond the current quarter with mixed results.	Unified planning platforms to support balancing supply and demand across the end-to-end supply chain and an emphasis on the accuracy and availability of supply chain master data.
Stage 6: Anticipate	Creating a volume-based operational plan, using sales forecast and constrained supply capability.	"S" reflects sales and marketing plans, and "OP" reflects supply plans.	The S&OP process is coordinated, owned and sponsored by supply chain.	The metrics are function-specific and often competing.	S&OP is mostly short-term and operationally focused (e.g. zero to three months).	Transactional systems become the system of record for the S&OP process, with limited functional solutions to support supply and demand planning.
Stage 7: React	Preventing supply shortages and maximizing revenue.	"S" reflects sales, and "OP" reflects local supply capabilities.	The S&OP process is led by supply chain and lacks sponsorship from business executives.	Business unit metrics are generated from varied sources.	S&OP focus is on fire-fighting to resolve current operational imbalances in supply and demand.	Extensive, but inconsistent, use of spreadsheets and in-house systems to support S&OP and disparate transactional systems.
Outcome	Process Focus	Organization	Metrics	Time Horizon	Technology	

A tailored maturity model for S&OP has several functions

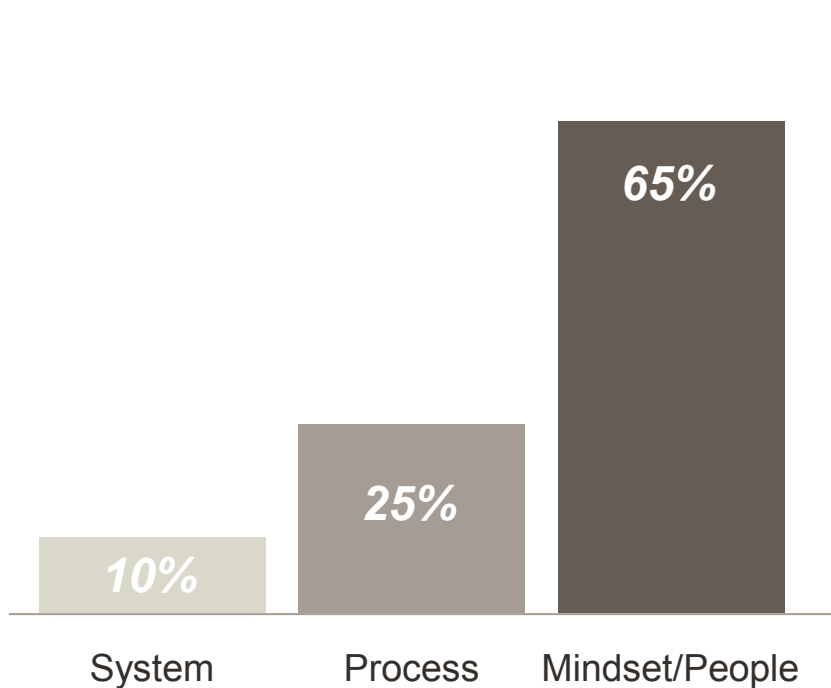
- Acts as a discussion tool for the ideal process – and the steps in between
- Sets a long-term focus for the development of the process with realistic steps and identifies actions to improve process
- Used as a communication tool towards stakeholders – to align expectations – and for continuous self-assessments

A maturity model can act as a target-setting tool for the S&OP process

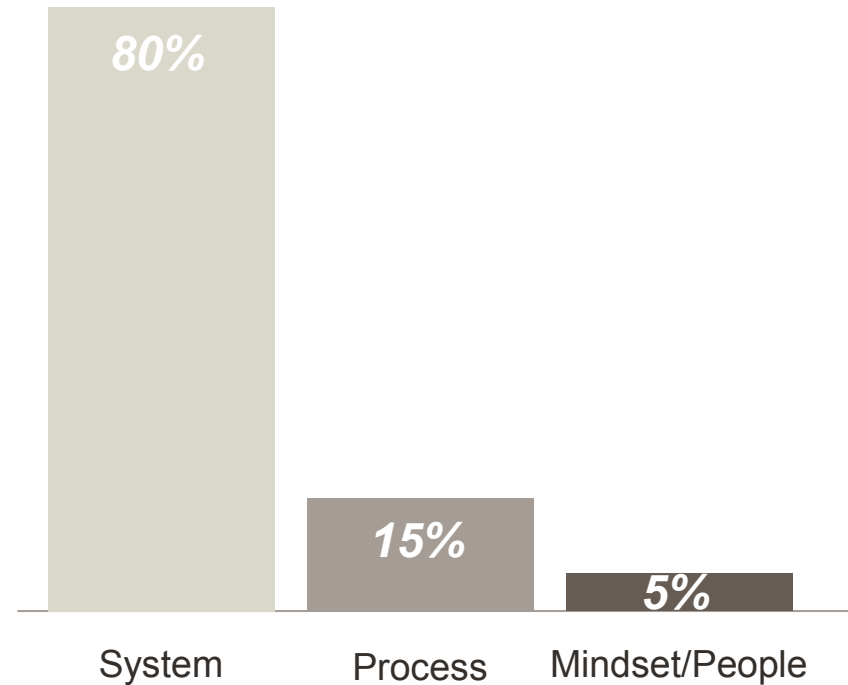


According to Tom Wallace, the importance of the system is very low when implementing S&OP

... the main focus should be mindset changes



... but often this is what we see in projects



Drivers for overall system requirements are complexity and agility

1

Complexity

- Supply chain tiers
- Levels of production with constraints
- No. of products
- ...



Increased complexity will set requirements for system data model

2

Agility

- Volatility in the markets
- Forecast quality
- Horizon for supply chain decisions



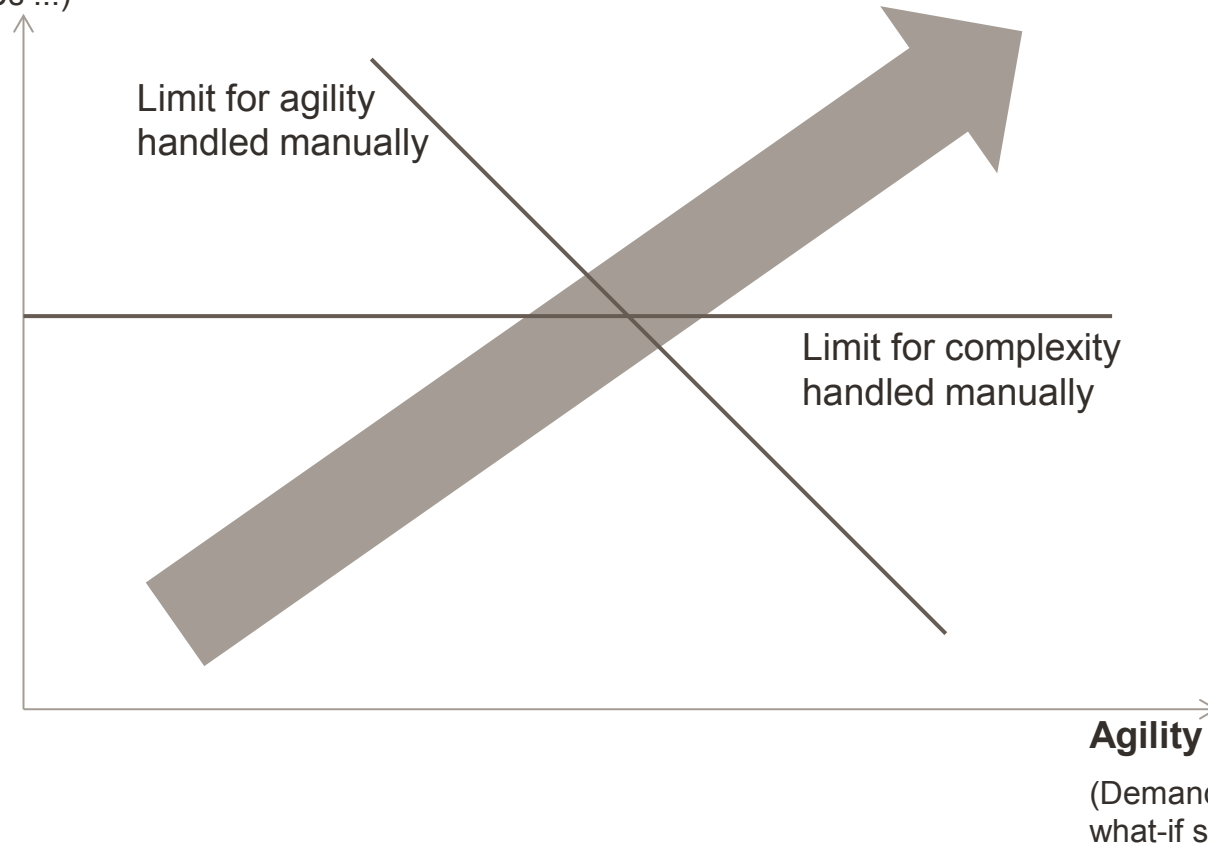
Agility requirements will set requirements for system flexibility

... and increases with maturity

There is a limit to what can be handled manually by “Blood, Sweat and Excel”

Complexity

(Supply chain network, SKUs ...)



Increased maturity is commonly followed by a need for more what-if simulations and advanced scenarios

In a simple process, constraints can be modelled in excel – and a few scenarios calculated.

In a more advanced process, constraints has to be modelled in a planning system – that also supports scenarios calculations.

Implement Consulting Group P/S

Thomas Holm, Partner

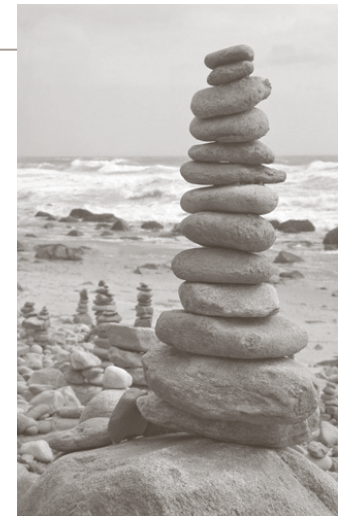
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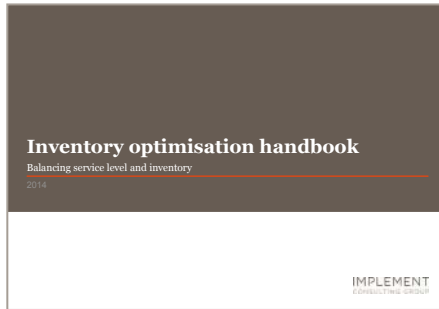
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Selected viewpoint handbooks from Implement Consulting Group



Inventory optimisation is not about formulas, it *is about people and processes, applying the right methods to manage inventory* – not as a one-time action, but a repeated process.

This handbook deals with **inventory optimisation** and includes a set of Implement viewpoints on the topic.



One size does not fit all – not all products have the same characteristics. **Differentiated planning** is about planning materials according to different characteristics – and how to perform segmentation to identify the right categories.



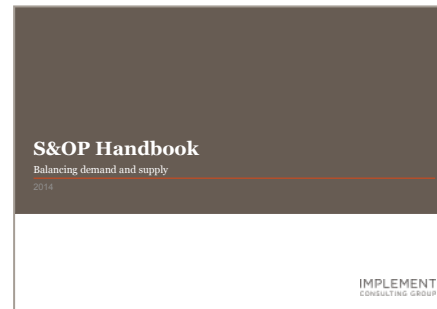
The warehouse floor is where corporate plans meet reality!

Warehouse managers and workers often feel that they are using most of their time putting out fires! In this booklet you will find some of the key elements that we believe in when it comes to achieving **excellent warehouse operations**.



In this booklet you will get an introduction to the basic dilemmas concerning the **forecasting process** and Implements viewpoint on these.

You will find out that there is more to a forecast than just a basic calculation and that *a forecast should be created* and not only calculated.



Sales & Operations Planning (S&OP) is about *balancing demand and supply* – and to take and execute decisions to keep this balance in line with company strategies and targets. It should be simple – but experience shows *that implementing S&OP is difficult*. This is the basis for the handbook.



Leading companies work with *various strategic levers to cope with the global supply chain challenges* in order to stay competitive.

Implement Consulting Group has summarised the strategic levers into five **supply chain megatrends**, which are described in this book.

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Implement Consulting Group

Implement Consulting Group is a leading Scandinavia based management consultancy, specialised in driving strategic transformations with a strong differentiator on “making change happen” – delivering documented Change with Impact.